



Public Competition Assessment

16 October 2006

Victorian Livestock Exchange Limited - acquisition of Sale and Korumburra Saleyard businesses and Yarram saleyard property in the Gippsland region

Introduction

1. On 23 August 2006, the Australian Competition and Consumer Commission (**ACCC**) announced its decision that the acquisition of the Korumburra South Gippsland Regional Saleyard and the Sale Livestock Exchange businesses and Yarram Saleyard property (**the VLE acquisitions**) by Victorian Livestock Exchange Limited (**VLE**), would not have the effect, or be likely to have the effect, of substantially lessening competition in the market for the provision of saleyard and saleyard services in the Gippsland region of Victoria in contravention of section 50 of the *Trade Practices Act 1974* (**the Act**).
2. The ACCC made its decision on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the VLE's acquisitions, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - a merger is rejected;
 - a merger is subject to enforceable undertakings;
 - the merger parties seek such disclosure; or
 - a merger is approved but raises important issues that the ACCC considers should be made public.
4. This Public Competition Assessment has been issued because Victorian Livestock Exchange Limited's acquisition of the Korumburra South Gippsland Regional Saleyard and Sale Livestock Exchange businesses and Yarram Saleyard property is considered to raise issues of interest to the public.

5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.
6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.
7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Victorian Livestock Exchange Limited

8. VLE is listed on the Bendigo Stock Exchange (BSX). In its December 2005 financial report, VLE declared total assets of nearly \$18 million and net assets of \$8.23 million.¹ Its interests include:
 - Pakenham saleyard (business and assets)
 - Traralgon saleyard (business and assets)
 - Koonwarra saleyard t/a VLE Leongatha (business and assets)
 - Sale saleyard (business only)
 - Korumburra saleyard (business only)
 - Yarram saleyard (assets only)
9. VLE provides livestock electronic tag reading services to other saleyards and major pastoral houses in Mortlake, the Alpine region of Victoria and New South Wales and in Powrana and Bothwell in Tasmania. VLE provides other livestock services throughout Gippsland and neighbouring regions.

¹ See BSX document - VLE Annexure 3A – 31 December 2005 (posted 17/03/06), available at: <http://www.bsx.com.au/dataRepository/BSX.VLE.1.1597.1718.pdf>.

10. VLE's Koonwarra site has recently undergone an extensive refurbishment to the value of approximately \$5 million, which included doubling the number of pens available and roofing the entire cattle holding.

The target/s: Korumburra South Gippsland Regional Saleyard and Sale Livestock Exchange businesses and Yarram Saleyard property

Korumburra South Gippsland Regional Saleyard and Sale Livestock Exchange businesses

11. VLE entered into negotiations in January 2006 with the Svenson owned group of companies to purchase their livestock saleyard operations in Gippsland, namely the businesses of the Korumburra and Sale saleyards. According to their December 2005 financial report, VLE signed contracts for the rights to operate the saleyards at Sale and Korumburra for \$1.3 million.²
12. On 10 March 2006, VLE completed the transaction to purchase the Korumburra based business of the Svenson Group.³ Information before the ACCC indicated that the business of the Korumburra saleyard would be transferred to VLE's Koonwarra saleyard facility, and the Korumburra saleyard closed by the Svenson Group at some stage thereafter.
13. On 3 July 2006, VLE took possession, as tenants, of the Sale Livestock Exchange which is the property of Wellington Shire Council.⁴

Yarram Saleyard property

14. According to the BSX, VLE acquired the Yarram Saleyard property of David Phelan and Co Pty Ltd on 13 June 2006.⁵ VLE submits that this transaction did not include the purchase the Phelan saleyard business or the Landmark-owned saleyards and saleyard business adjacent to David Phelan and Co. Pty Ltd.

Timing

15. The following table outlines the timeline of key events in this matter.

Date	Event
21-Feb-2006	ACCC received initial submission from VLE
09-Mar-2006	ACCC timeline suspended pending receipt of further information from VLE

² See N1.

³ See BSX announcement of 10 March 2006 available at:
<http://www.bsx.com.au/dataRepository/BSX.VLE.1.1531.1652.pdf>.

⁴ See BSX announcement of 3 July 2006, available at:
<http://www.bsx.com.au/dataRepository/BSX.VLE.1.1829.1950.pdf>.

⁵ See BSX announcement of 13 June 2006 available at:
<http://www.bsx.com.au/dataRepository/BSX.VLE.1.1799.1920.pdf>.

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28-Mar-2006	to constitute a full submission
11-Apr-2006	Market inquiries commenced
13-Jun-2006	Closing date for submissions from interested parties
15-Jun-2006	Full submission received from VLE. ACCC commenced review under Merger Review Process Guidelines.
30-Jun-2006	ACCC released a Statement of Issues
04-Jul-2006	Closing date for submissions from interested parties on the Statement of Issues
28-Jul-2006	ACCC timeline suspended pending receipt of a response to the ACCC's Statement of Issues from VLE expected on 31 July 2006.
01-Aug-2006	Decision date postponed to allow for VLE's response to ACCC's Statement of Issues
23-Aug-2006	ACCC received response to the Statement of Issues from VLE
	ACCC announced it would not oppose the acquisition

Market inquiries

16. The ACCC conducted market inquiries with a range of industry participants, including agents, saleyard owner/operators, livestock buyers (farmers, feedlots, meat processors and abattoirs) and livestock sellers (farmers, feedlots, pastoral companies, stud owners), providers of ancillary services, local shire councils, industry bodies and other interested parties. A market inquiries letter was also posted on the ACCC website seeking comments. Submissions were sought in relation to the transactions and substantive competition issues.
17. The ACCC noted that some industry participants expressed concern about the initial sale process of the Korumburra South Gippsland Regional Saleyard business and assets to the Svenson group of companies by the South Gippsland Shire Council. However, this issue did not fall under the ACCC's scope for assessment under section 50 of the Act.

Statement of Issues

18. The ACCC published its Statement of Issues on 15 June 2006 identifying a number of competition issues. In the Statement of Issues, the ACCC invited further information and comment on the provision of saleyards and saleyard services in the Gippsland region and across Victoria in relation to the following issues:
 - the relevant market;
 - barriers to entry;
 - countervailing power; and
 - prices and profit margins.
19. The Statement of Issues sought more detail on the nature of the markets and methods used for the sale of livestock, the height of barriers to entry, the existence and possible use of countervailing power by saleyard users and the likely response of users to any adverse change in the prices or levels of service offered by the VLE saleyards in Gippsland post-acquisition.

Market definition

20. Based on information before the ACCC, the relevant product market was considered to be the provision of saleyard and saleyard services, with auction services and alternative methods of sale a substitute for some buyers and sellers (agents).
21. The ACCC's inquiries revealed that the geographic scope of the market appeared to be different for different parties – that is, local for livestock sellers and smaller agents, and regional or trans-regional for livestock buyers and larger agents (and possibly other users). For saleyard operators, the market appeared to be regional.
22. The ACCC concluded the relevant market for the assessment of the VLE acquisitions was the market for the provision of saleyard and saleyard services in the Gippsland region of Victoria.

Competition analysis

Market concentration and substitutability

23. The ACCC understands that, post-acquisition, VLE will own and operate three Gippsland saleyards (Pakenham, Traralgon, Koonwarra), own one saleyard property (Yarram) and two saleyard businesses (Korumburra and Sale).
24. The ACCC's inquiries confirmed the existence of saleyards located at Mernda, Thorpdale, Heyfield, Benambra, Gelantipy, Omeo, and Ensay in the Gippsland region.
25. The ACCC is also aware of the existence of two larger saleyards located at Warragul and Bairnsdale which offer saleyard and saleyard services in competition with the VLE. Information before the ACCC indicated that these saleyards were likely to impose a degree of constraint on VLE as substitute saleyard facilities for some livestock producers, given, among other things, the ease of switching between different saleyard facilities.
26. The ACCC's inquiries, however, suggested that the substitutability of the Warragul and Bairnsdale saleyards was limited, given that the Warragul facility is not able to be physically expanded and buyers and sellers would have to travel over the Strzelecki Ranges, and that the newly refurbished Bairnsdale facility was perceived to be located too far away.
27. The ACCC's inquiries clarified that alternative saleyard facilities in the Gippsland region are unlikely to be strong substitutes for small livestock producers located in the Korumburra region post-acquisition, given the small quantities bought and sold. The ACCC noted that many of these producers have been buying and selling livestock in the region for a number of years and would be unlikely to switch to an alternative saleyard facility to sell one to two animals at a time up to 100km away. Furthermore, it was suggested that alternative methods of sale may not be a viable alternative for small livestock producers, given their inability to attract feedlots, abattoirs and meatworks directly.

28. Information before the ACCC also indicated, however, that larger sellers who are able to attract buyers directly may have the option of utilising the alternative methods of buying and selling livestock (including feedlots), with some already preparing to do so once Korumburra is closed. The ACCC's inquiries verified that there are companies planning on offering over-the-scales selling methods in the Gippsland region; and many livestock farmers are investing in their own livestock weighing scales, purchased locally, to have on the farm in preparation for the closure of Korumburra and likely lack of capacity at the Koonwarra saleyard.
29. The ACCC has reached the view that the ability for some larger livestock producers to switch, at the margin, to alternative livestock selling methods and to a lesser extent, use alternative saleyard facilities located in the Victorian Gippsland region, such as Warragul and Bairnsdale despite perceived shortcomings, would provide some degree of competitive constraint on the VLE.

Barriers to entry

Saleyard and saleyard services

30. Information before the ACCC suggested that barriers to entry for the establishment of a new saleyard facility were significant and included:
 - construction costs;
 - achieving sufficient throughput and economies of scale; and
 - regulatory and related barriers.
31. The largest barrier to entering the saleyard and related services market is the cost of construction which information before the ACCC indicated is between \$3 – 8 million. The ACCC's inquiries generally supported that considerable capital costs would be involved to establish a new saleyard facility in the Gippsland region.
32. The ACCC's inquiries also indicated that it is unlikely a new entrant would establish a saleyard facility in the short-term in competition with VLE given unpredictable and irregular throughput. As it is easy for buyers, sellers and to a lesser extent, agents to switch easily from using one saleyard facility to another, there is no guarantee of buyer support for saleyard owners and operators. New saleyard facilities would have to build up their trade and offer incentives to initially attract business. Furthermore, saleyard users would be less inclined to demand additional saleyard facilities because of the convenience of attending saleyard auctions for certain types of livestock, held on specific days, at different saleyards. Generally, sellers will want to trade livestock at a saleyard facility where there are many buyers, and vice versa, to get the best prices. In addition, there appeared to be considerable economies of scale in larger facilities.
33. Available information indicated that other regulatory and related barriers to entry included Occupational Health and Safety regulations, environmental and planning regulations and availability of a suitable site with road access.

34. Information before the ACCC indicated that barriers to expanding existing saleyard facilities were also significant. Barriers identified included refurbishment and upgrade costs, difficulties in yard design and operation, availability of suitable land adjacent to existing facilities, tighter environmental obligations when modifications are completed and achieving sufficient demand from users for expanded saleyard facilities.
35. The ACCC is aware of the existence of portable yards to expand the capacity of saleyard facilities temporarily during times of excess demand from saleyard users. However, the ACCC's inquiries indicated that the use of portable yards at Koonwarra to lessen perceived short-term capacity issues would not be a practical or viable solution. Furthermore, portable yards at Koonwarra would not be considered a feasible alternative to replace holding auctions at the larger Korumburra saleyard.
36. The ACCC concluded that barriers to entry and expansion for saleyard and saleyard services are significant and the entry of a new saleyard operator in the Gippsland region is unlikely in the short-term.

Alternative methods of selling

37. The ACCC's inquiries indicated that there are minimal costs associated with establishing an alternative method of selling business. This is supported by the existence of alternative forms of selling in every local area in the Gippsland region of varying size. Expanding an alternative method of selling business appeared to be more about establishing relationships, marketing the business and hiring appropriate staff.
38. The ACCC concluded that barriers to entry and expansion for alternative methods of sale such as over-the-scales appeared to be low.

Choice of selling method

39. The ACCC's inquiries revealed that regular users of saleyard services possess a degree of choice with respect to the selling method they use, supported by the ease with which buyers, sellers and agents are able to use alternative saleyards, or switch to alternative methods of selling. Furthermore, saleyard charges are transparent and easily accessible; if users are unhappy with the services offered, they can source alternative methods of livestock disposal.
40. Information before the ACCC indicated that agents are likely to have the most choice as they are well informed about the market and are able to influence both their clients' choice of selling method and to a lesser extent, saleyard location.
41. Similarly, ACCC inquiries revealed that sellers also possess some choice with respect to different selling methods. If sellers feel that the saleyard charges are becoming too high or the services offered are not to the level expected, they will find alternatives. In most cases, this is likely to involve sending stock to another saleyard but could include selling larger lines of cattle direct to abattoirs or by using other alternative methods of selling.

42. Furthermore, available information suggested that buyers who travel regularly across regional and state boundaries to more than one saleyard, and also buy direct, are likely to have access to alternatives. Buyers typically represent large companies such as supermarket chains, feedlots and abattoirs. The failure of buyers to attend particular saleyard or their decision to buy direct will impact significantly on the pricing and service provision decisions of the VLE as a saleyard operator. Furthermore, saleyards sell to the same section of the trade on different weekdays so that buyers may attend one yard on Monday, another on Tuesday and so on. This appeared to support the notion that choice is also available to livestock buyers. Buyers are not generally charged fees directly and will operate where there are sufficient numbers of livestock suitable to their requirements.
43. The ACCC is confident that agents, and some larger buyers and sellers have a degree of choice when deciding whether to deal with VLE, and that this would be likely to constrain some of the activities of the VLE post-acquisition.

Prices and profit margins

44. The ACCC's inquiries revealed concerns about a probable increase in expenses for users (yard fees and transport costs) to attend the recently refurbished Koonwarra saleyard facility. The majority of information received also focused on the resulting lack of capacity at the Koonwarra Saleyard once the Korumburra saleyard is closed, and the bullock sales in particular are transferred (with agents not willing to attend sales over a two to three day period).

Saleyard fees

45. Information before the ACCC indicated that prices charged by saleyards are determined by competitive forces, in other words, what fees can be charged without adversely affecting throughput. The ACCC's inquiries revealed that fees charged by saleyards may vary depending on the number and quality of different services included in the price. Average lot size, frequency of sales and total throughput also contribute to a range of selling costs across Australian saleyards.
46. Available information indicated that while the VLE's prices are higher than those charged by municipal saleyards, they have not exceeded CPI increases. Furthermore, the ACCC's inquiries overwhelmingly suggested that such prices reflect the superior quality of the facilities and services provided by the VLE. Compliance with regulatory and industry standards appeared to have also legitimately increased the cost of providing modern saleyard services and facilities. More generally, the ACCC noted that businesses are generally free to set their own terms and conditions including prices.

47. Furthermore, the ACCC's inquiries confirmed that prices for saleyards and saleyard services are accessible and transparent. The ease with which agents, sellers and buyers are able to obtain pricing information assists in users making an informed decision about whether to attend the VLE's saleyards, alternative saleyards or switch to alternative methods of selling. These decisions will also be influenced by transport costs and changes in prices received for livestock. However, the ACCC recognised that other available information suggested that prices charged by saleyards for some services often lack transparency and may be difficult for an outsider to assess.
48. Information before the ACCC suggested that the VLE would be under pressure not to increase its fees above the competitive level from users who are able choose alternatives. The ACCC understands that sellers (agents) will attempt to maximise their returns from trading livestock, with some willing to attend alternative saleyards or switch to alternative methods of selling if there is a perceived advantage. Ultimately, sellers and agents' decisions are made on the basis of the net return to the seller, which is made up of the price received for livestock less expenses. Available information supported the fact that the cheapest method of sale (the VLE's saleyard facilities or alternative saleyards, or alternative methods of selling) may not always achieve the best net result for sellers (agents).

Transport costs

49. Information before the ACCC indicated that saleyard users in the Korumburra area would need to travel an additional 25km to attend the Koonwarra saleyard.
50. The ACCC considered that the cost of transport and distance to an alternative saleyard facility would determine how much higher fees and transport costs would need to be before the decision is made by sellers (agents) to trade livestock elsewhere or switch to an alternative method of selling. Information before the ACCC indicated that where reasonable numbers of livestock can be put together (either individually or by joining with others), the cost of transporting livestock can be significantly lowered. The ACCC understands that this may effectively limit the ability of a saleyard operator such as the VLE to unilaterally raise prices above the alternatives of shifting livestock to another yard or switching to alternative method of selling.

Capacity issues

51. Information before the ACCC indicated that pre-acquisition, Koonwarra was a single agent yard with low and declining throughput levels and in practical terms, the closure of the Korumburra saleyard will simply be a transfer of business from Korumburra to Koonwarra. However, concerns were raised during the ACCC's inquiries about the significant lack of capacity at VLE's recently refurbished Koonwarra saleyard facility.

52. Available information suggested that the only way the VLE would be able to maintain the same level of throughput as the Korumburra saleyard would be to hold a number of sales at Koonwarra over more than one day. However, the ACCC's inquiries indicated that this option would be inefficient for all saleyard users as they would be likely to incur additional expenses of attending the same section of the trade sale at different saleyard locations, possibly on the same day.
53. The ACCC noted the existence of portable or temporary yards that may be used to alleviate a lack of capacity at VLE's Koonwarra saleyard facility in the short-term. For a discussion of this issue in more detail, please refer to paragraph 35 above.
54. Information before the ACCC also suggested that the VLE's recently refurbished Koonwarra facility, which is now able to process livestock more quickly and efficiently, would be able to handle more livestock than another saleyard facility of the same size (on the basis of selling pens).
55. Furthermore, the ACCC is aware that larger sellers are already preparing to use alternative methods of selling as a substitute for attending the VLE's Koonwarra saleyard facility to trade livestock, particularly in preparation for the bullock sales in February 2007. The ACCC understands that this will be likely to alleviate some of the excess capacity issues at Koonwarra and demonstrates that some users do have viable alternatives to the VLE-owned saleyards in the Gippsland region. In other words, if there is a shortage of capacity at a saleyard and fees increase, there are other viable options for some livestock sellers (agents). This is likely to be indicative of the existence of competition in the market.
56. The ACCC noted that the likelihood of users switching to alternative saleyards in the Gippsland region in response to a lack of capacity at the VLE's Koonwarra saleyard facility will be dependent on, among other things, individual sellers' expenses and buyers' perceptions.

Prices and profit margins – conclusion

57. The ACCC concluded that the VLE will have to remain competitive in terms of prices and profit margins or risk losing valuable throughput. If the VLE either sought to charge prices above the competitive level or deliver sub-standard services, some sellers (agents) would be able to switch to using alternative saleyard facilities or selling methods. Such saleyard users would not be likely to tolerate the VLE increasing its prices above the competitive level.
58. Furthermore, the ACCC considered that VLE does not have an incentive to restrict the supply of its services (maintain insufficient capacity at VLE's Koonwarra saleyard) in order to push up the price of livestock at auction given that VLE is not involved in the livestock buying and selling market and would not benefit directly from changes to the competitive price of livestock.

Conclusion

59. On the basis of the above, the ACCC decided that the acquisition of the Korumburra South Gippsland Regional Saleyard and Sale Livestock Exchange

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businesses and Yarram Saleyard property by Victorian Livestock Exchange Limited would not be likely to result in a substantial lessening of competition in the market for the provision of saleyards and saleyard services in the Gippsland region of Victoria in contravention of section 50 of the Act.